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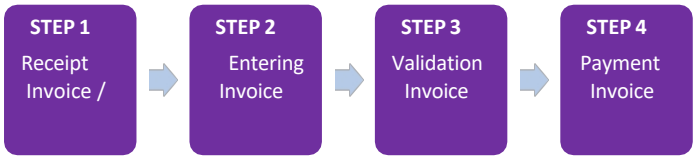
Purchase procedure



STEP 1: Receipt of invoice

The invoice can be received by:

A/ The accounting department

1) The invoice is received by paper mail, and the Office Manager forwards it to the accounting department, which must:
   - scan it
   - Save it to the network O:\Support\Finance\Invoices

2) The invoice is received directly by email. The accounting department must:
   - Save it to the network O:\Support\Finance\Invoices
   - Print the invoice, including only the "invoice" pages, not the details (if any)

B/ Operations - Project Manager

The operational manager/project manager must immediately forward the invoice received by mail or email to the accounting department. The latter will carry out the steps mentioned above in 1) or 2).

STEP 2: Entering the invoice

A/ Entering the invoice:

The first step is to analyze the invoice received and rename it on the network according to the information provided.

In most cases, the invoice corresponds to an existing service, so you can simply use the previous invoice as a guide for renaming it. rename it.

Example: GOETZPARTNERS *O:\Commun\Support\Finance\Invoices\Invoices 2024\GOETZPARTNERS*

This is a monthly invoice called

INV 042-2024 - Engagement Fee - September 2024 INV

036-2024 - Engagement Fee - August 2024

Some invoices refer to a service linked to a PO (=Purchase Order). Example with DELPHARM LILLE:

Invoice number

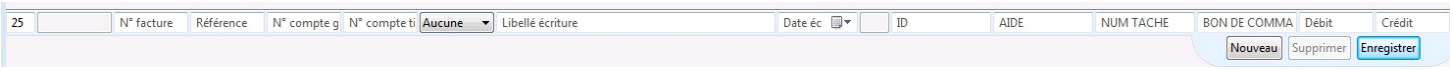
Quote number + project description

Activity performed on the invoice

INV 10001652 - K21_3437C - ABX464, 6.25mg & 12.5mg & 25mg & 50mg, capsule - Clinical batches Q1-Q2 2022 - 018M - P00176_2022

PO No.

The accounting department enters the invoice into the accounts, checking that the invoice has not already been received. The entry is made in the ACHA journal, specifying:



- The invoice date is the date indicated on the invoice. However, please note: if the VAT return has already been filed for the month in which the invoice was received, e.g., the January VAT return has been filed and an invoice dated January 31 is received, which may alter this return, it is better to enter it as February 1 to avoid any discrepancy between the amount declared and the actual amount.
  dated January 31, which may alter this return, it is better to enter it on February 1 to avoid any discrepancies between the declared amount and the actual amount in the event of an internal audit.
- The reference may be requested when it concerns a specific project, for example HIV004, HIV005, UC101, UC102, etc.
- The supplier exists; otherwise, it must be created, taking care to verify its identity and bank details with TRUSTPAIR.

- By also entering VAT (France) or Intra-Community VAT (EU) or Extra-Community VAT (Outside the EU). Intra-Community VAT (EU invoice) and Extra-Community VAT (non-EU) must be shown in order to be declared, even if they have no financial impact on Abivax and even if they do not appear on the invoice. Here is how to account for French VAT and intra-Community VAT (extra-Community VAT is accounted for in the same way as intra-Community VAT, using accounts 445669 on the debit side and 445209 on the credit side) – for the calculation, take 20% of the invoice amount.

	N° pièce	N° facture	Référence	N° comp...	N° compte tiers	Provena...	Libellé écriture	Débit	Crédit
14	1982	379/16		401000	MCSERVICE	Aucune	MC SERVICES 07/16		450,00
14	1982	379/16		445668		Aucune	MC SERVICES 07/16	90,00	
14	1982	379/16		445200		Aucune	MC SERVICES 07/16		90,00
14	1982	379/16		**622600**		Aucune	MC SERVICES 07/16	450,00	

Note: tip: to ensure that intra-Community VAT is correctly recorded under the same accounting document number as the invoice, the invoice must be recorded as follows: 1) the Supplier account 2) the two VAT amounts 3) the expense account with:

- The accounting account
- Analytical allocation: the distinction between R&D (RAD) and administrative (ADM) expenses is key, followed by the project name (e.g., ABX464 or ABX544 or VIRRSV) and then the cost center (CLI, CMC, FIN, COM, DG1, etc.). Operational staff should be asked for help and clarification in case of doubt about project allocation. Information on the PO can also be used as a basis, if available.
  For expenses such as expense reports, telephone bills, and travel and transportation costs, the analytical rule is based on payroll. In other words, only the CEO, Office Manager, and Finance Department will be in ADM; the rest will be in RAD.
  The financial controller checks the analytical allocation once a month, at the time of budget re-estimates, and may request corrections if necessary.

The accounting department verifies that a:

- Purchase Order or PO has been created under O:\Abivax\Purchase regarding the invoice and verifies:
  - The amount of the PO and compares it with the invoice (asking the operational department for the reasons for any difference in amount)
  - That the various "Docushare" validations have been obtained for the PO according to the current matrix:

Process	Project Manager	SVP/VPs/Sr Directors	Chiefs (Medical, Commercial, People)	SVP of Finance	Chief Financial Officer	Chief Executive Officer
Purchase orders/signed contracts - (for respective departments)						
Approval up to EUR 50,000		X				
Approval > EUR 50,000 up to EUR 500,000			X			
Approval > EUR 500,000 up to EUR 750,000				X**		
Approval > EUR 750,000 up to EUR 1,000,000					X	
Approval greater than EUR 1,000,000						X

** This approval is only relevant for invoices not under the jusrisdiction of the finance department. All finance department related projects/invoices will

- And enters the number in the Purchase Order column on the Third Party account line

- If the Purchase Order or PO has not been created, the accounting department checks that there is a quote or contract in place with a validation that complies with the "approval matrix."

Signature Policy

Contract Value	Approver
Up to EUR 500,000	Didier Blondel
Over EUR 500,000	Marc de Garidel

*Delegation of Powers forms are currently being drafted to provide signature authority to COMEX members. This list will be updated shortly

The accounting department also enters:

- The invoice number
- The estimated due date for payment, referring to what was agreed upon when the contract/quote was signed. If nothing is specified on the invoice, Abivax applies the legal deadline in force: 30 days from the date of receipt of the invoice.

Once the entry has been completed, the accounting department writes the document number at the top of the invoice. The invoice is then filed in the "Suppliers to be paid" folder.

STEP 3: Validation of the invoice

Once the data has been entered, the accounting department requests validation from the operational staff, who must give their approval for payment. To do this, the invoices are uploaded one by one to Docushare and a validation request is sent by automatic email to the operational staff, in accordance with the approval matrix:

ABIVAX

Approval Authorization Matrix

Process	Project Manager	SVP/VPs/Sr Directors	Chiefs (Medical, Commercial, People)	SVP of Finance	Chief Financial Officer	Chief Executive Officer
Invoices without purchase orders/signed contracts - (for respective departments)	1st approver	2nd approver				
Invoice Approval up to EUR 50,000	X	X				
Invoice Approval > EUR 50,000 up to EUR 500,000	X		X			
Invoice Approval > EUR 500,000 up to EUR 750,000	X			X**		
Invoice Approval > EUR 750,000 up to EUR 1,000,000	X				X	
Invoice Approval greater than EUR 1,000,000	X					X
Invoices with purchase orders - (for respective departments)	1st approver	2nd approver				
Invoice Approval up to EUR 50,000	X					
Invoice Approval up to EUR 200,000	X	X				
Invoice Approval > EUR 200,000 up to EUR 750,000	X		X			
Invoice Approval >EUR 750,000 up to EUR 2,000,000	X			X**	X	
Invoice Approval greater EUR 2,000,000	X					X

* If Direct Manager is a Chief or SD/VP/SVP, then the autorization limits of the Chief, SD, VP, SVP holds
** This approval is only relevant for invoices not under the jusrisdiction of the finance department. All finance department related projects/invoices will go through the regular approval process.

Once the invoice has been validated, the accounting department receives a validation email containing the following information: the supplier's name
+ the invoice number. This email is merged with the PDF of the invoice on the network, and we save it as a duplicate, adding title "- Approved via Docushare."

STEP 4: Payment of the invoice

The accounting department prepares transfers once at the beginning of the month (on the 10th) and once in the middle of the month (on the 25th). The financial controller validates the transfers and the payment can be triggered.

Reminder: an invoice is only eligible for payment if it meets the following three criteria:

- It must be due
- Be validated via Docushare, in accordance with the approval matrix in force
- Have provided all the necessary information relating to bank details:

⇨ Please note that ABIVAX uses TRUSTPAIR, a dedicated platform for checking bank details. This platform analyzes and performs various checks on behalf of Abivax on the details provided for the payment. When Trustpair is unable to validate the bank details, the supplier must provide us with an official document from their bank proving their connection to the bank account, and we will update Trustpair's notification. No invoice can be paid without prior validation by Trustpair, in accordance with Abivax's internal control procedures.

As a reminder, ABIVAX SA carries out two monthly payment campaigns:

- On the 10th of each month: for invoices due between the 1st and 15th of the month.

Given the numerous internal checks required to validate a transfer, only invoices validated by Docushare and Trustpair 48 hours (business days) before the 10th will be included in this campaign.

- On the 25th of each month: for invoices with due dates between the 16th and the 30th/31st of the month.

Given the numerous internal checks required to validate a transfer, only invoices validated by Docushare and Trustpair 48 hours before the 25th will be included in this campaign.

More details in the "payment" procedure.
The accounting department files the invoice in the appropriate folder based on the document number

(See procedure for preparing transfers, preparing and assisting with invoice verification - step 4, and validating invoice payments - step 4)

Allocation to the analytical account

Correct allocation to the analytical account is essential for organizing the P&L. There are two sources of expenditure: ADM and RAD (Administration and Research and Development). On average, expenditure should be divided equally between 20% for ADM and 80% for RAD.

Check that the analytical account has been correctly allocated:
In SAGE: Statement➔ Analytical statements➔ Checking totals

- If balance = 0➔ ok, no apparent error
- If balance =/ 0➔ there is an amount that has not been fully or partially allocated analytically.